

Electric Bus Fleet & Charging Infrastructure Lease

Regulatory, technical and financial review for a project financier

Client: Project financier | **Role:** Independent due-diligence reviewer | **Scope:** Site control, fleet sufficiency and financial-model review | **Anonymization:** Identities, locations, dates and identifying totals removed.

Scope, reliance and limitations

The review covered site and land-use records, the operating and charging plan, and the sponsor's financial model against the cash flow submitted to the granting authority, across two diligence rounds. It relied on the records and model versions supplied; it did not re-run the underlying engineering or legal work behind them. [1]

Mandate

Evaluate a regional transit operator's financing request for a project financier, covering regulatory compliance, site control, operating assumptions and the internal consistency of the project's financial model. [1]

Three findings were decision-critical

Finding	What the review established
Charging-site viability	The proposed charging-center site was not viable for the intended use within the contractual timetable; the property also carried three public-use reservations that complicated permitting and site certainty.
Fleet and charging sufficiency	The selected battery configuration could not reliably cover all scheduled assignments without intermediate charging, and the shortfall worsened as battery capacity degraded over the contract term.
Financial-model integrity	The internal model and the cash flow submitted to the authority were materially inconsistent: fixed subsidy revenue covered only part of the modeled fleet and infrastructure payments, and several operating and enabling costs were omitted.

Each finding is drawn from a separate workstream; none of the three alone drove the outcome. [1]

Outcome

The financier declined to proceed. The three findings above are reported as decision-relevant; the file does not establish which, if any, was individually dispositive. [1]

What changed the financing view

The conclusion did not turn on a single finding. It emerged from the interaction between site constraints, operating feasibility and the cash-flow model.

Operating feasibility narrowed under realistic degradation

Battery-capacity assumption	Share of buses unable to complete trips without intermediate charging
Day 1 (315 kWh pack, 15% reserve)	55%
Year 8 (30% degradation)	75%

A larger 350 kWh pack still did not guarantee full schedule compliance. [1]

Site risk and a cash-flow gap compounded the shortfall

The land-use certificate did not support the charging center, and three public-use reservations added site risk. Separately, the fixed subsidy covered only 87% of modeled fleet and infrastructure payments, with further civil-works costs unrecovered. Each issue raised the cost of the others: a non-viable site meant relocation capital, the charging gap meant a different fleet configuration, and the model had no headroom to absorb either. [1]

What would change the assessment

A confirmed alternative site, a revised operating plan closing the charging-sufficiency gap, and a reconciled financial model covering the fleet and infrastructure payments would each bear on a renewed financing review.

SOURCE BASIS

[1] Engagement analysis prepared for the financing review: site and land-use records, operating and battery-degradation analysis, and the sponsor's financial model compared with the submitted cash flow.